



1. Write down the legally required points (elements) of a sales contract:

2. Below you see the possibilities to state the price in a sales contract:

Price Statement

- Fixed price contracts (KV mit festem Preis)
- Non-price-binding contracts (KV mit freibleibendem Preis)

Purchasing on the **basis of a certain quality: (Basiskauf)**

The price is fixed according to a certain quality. If the delivered goods do not meet the fixed basic quality, deductions or extra charges are calculated as fixed in the contract (e.g. white tiles, coloured tiles cost 10 % more)



Cost fluctuation clause: (Kostenschwankungsklausel)

It is possible to increase the price when certain costs rise between the agreement date of the contract and that of delivery (e.g. a rise in wages, a rise in raw material prices).



Index (escalator) clause: (Indexklausel)

An index shows how prices change in various areas (e.g. rent linked to the consumer price index).

Stock exchange price / market price: (Börsen- oder Marktpreis)



3. For the following examples, indicate which type of price statement is appropriate.

- Construction of a medical center (*Ärztzentrum*):
- Purchase of 20 packs copy paper (80g, 500 sheets per pack):
- Order of 1,000 swim shorts – the exact specification (colors, material, etc.) will follow:
- Rent for office space:
- Purchase of 10,000 liters heating oil (*Heizöl*):



4. Price Deductions:

The seller can offer the following discounts:

Price Deductions

Discounts
Discounts are price reductions which are independent of the date of payment. They are granted for various reasons.

Quantity discount

Trade discount

Cumulative quantity discount

Cash discount
is a price reduction for earlier payment.

.... payable within 14 days with 3% cash discount or within 60 days net.

allowance for interest

risk premium

allowance for administration

Match the following terms and definitions:

1. Quantity discount <i>Mengenrabatt</i>	a. The seller receives the money earlier than agreed. He can use the money to pay back a loan or credit (and save interest) or to make other investments.
2. Cumulative quantity discount <i>Umsatzbonus</i>	b. This discount is granted to wholesalers and retailers to compensate them for particular marketing functions, especially the distribution function.
3. Trade discount <i>Händlerrabatt</i>	c. The discount is based on the quantity purchased (for 100 units 5%, for 1000 units and more 10%)
4. Allowance for interest <i>Zinsvergütung</i>	d. The seller does not have to supervise the payment, check the due dates, send reminders, etc.
5. Risk premium <i>Risikoprämie</i>	e. This discount is based on the total volume purchased over a period of time. It ties customers more closely to the seller. It is normally paid at the end of the business year.
6. Allowance for administration <i>Verwaltungsvergütung</i>	f. Having received the money immediately, there is no risk of any delayed payment or non-payment.